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MEMORANDUM

Date: May 28, 2025
To: Board of Education
From: Michelle Morrison, Chief Financial Officer
CC: Superintendent Kimberlee Armstrong
Subject: Resolution to Amend the 2024-25 Adopted Budget, Amendment No. 1

BACKGROUND

During the course of the year, there are occasions and circumstances that require an entity to update its budget. This is a common and routine best practice to ensure that proper spending levels are maintained in accordance with what has transpired throughout the school year. Oregon Local Budget Law allows budget changes after adoption under prescribed guidelines.

The proposed amendment adjusts requirements (i.e. expenses) within Fund 100 (General Funds), Fund 200 (Special Revenue Funds), and Fund 300 (Debt Service Funds) to meet the projected spending requirements.

100 - General Fund Adjustments

Requirement (i.e. Expense) Changes

- Decrease requirements in Instruction to reflect projected spending requirements.
- Increase requirements in Support Services to support services for contract services for students receiving special services and for transportation insurance costs.
- Increase requirements in Enterprise and Community Services to align RESJ contracts to the appropriation category originally allocated in Instruction.

200 - Special Revenue Fund Adjustments

Requirement (i.e. Expense) Changes

- Decrease requirements in Instruction to reflect decreased actual expenditures for supplemental Instruction.

- Increase requirements in Support Services to align with increased spending for Student Support Services . This reallocation ensures adequate appropriations to meet projected needs through the end of the fiscal year.

300 - Debt Service Fund Adjustments

- Decrease Contingency to align with TSCC recommendation.
- Increase Debt Service to meet projected spending requirements.
- Increase Unappropriated Ending Fund Balance to meet projected spending requirements.

RELATED POLICIES/BEST PRACTICES

Oregon Local Budget Law, Oregon Revised Statutes (ORS) 294.305 to ORS 294.565, allows budget changes after adoption under prescribed guidelines.

ANALYSIS OF SITUATION

Should the Board choose not to pass this resolution, appropriation levels may be exceeded and potentially in violation of Oregon Local Budget Law.

FISCAL IMPACT

No further impacts beyond that which have been outlined above.

COMMUNITY ENGAGEMENT (IF APPLICABLE)

District staff members engage with the Community Budget Review Committee regarding budget-related matters throughout the year.

TIMELINE FOR IMPLEMENTATION / EVALUATION

N/A

BOARD OPTIONS WITH ANALYSIS

The Board may choose to pass or not pass the proposed budget amendment resolution. If passed, the District will move forward with its amended spending plan for the Fiscal Year 2024-25. The consequences of non-passage would mean appropriations would not be available for anticipated expenditures, and reductions would need to be made in order to stay within appropriations and remain in compliance with Oregon Local Budget Law.

STAFF RECOMMENDATION

Staff recommends that the Board pass the proposed resolution to amend the 2024-25 budget.

As a member of the PPS Leadership Team, I have reviewed this staff report.

MM (Initials)

ATTACHMENTS

- Resolution
- Attachment A - Summary of Amendments to 2024-25 Budget - Amendment No. 1